

# Weekly Markets Update

Week Ending 11 September 2026

## Executive Summary

- Middle East escalation drove another sharp move in energy markets: US strikes on Iranian oil tankers and renewed Red Sea tensions pushed oil above \$100/bbl for the first time since July. Crude ended the week at \$104/bbl, up c.8% from Monday, while higher energy prices added renewed pressure to global bond yields.
- UK fiscal pressure intensified ahead of the October Budget: A £4bn 30-year gilt auction cleared at 5.82%, the highest yield for the maturity since 1998. Higher borrowing costs are expected to materially reduce the government's £24bn of fiscal headroom, while banks and other corporates continue to lobby against potential tax increases.
- UK corporates remained under pressure: Spire Healthcare agreed a £1bn takeover by Toscafund, while Jaguar Land Rover announced a £1.7bn cost-saving programme involving 4,000 job losses. Channel 4 also announced plans to cut roughly a quarter of its workforce.
- Africa remained active across energy and capital markets: The US continued shifting toward a more investment-led Africa strategy focused on critical minerals, Senegal launched a major oil and gas licensing programme, and Dangote Refinery prepared for a highly anticipated Nigerian IPO positioned as a broad-based “people's IPO.”

## Market Metrics Dashboard

| Asset Class  | Benchmark    | Beginning of the week | End of the week | Weekly Change |
|--------------|--------------|-----------------------|-----------------|---------------|
| Equities     | S&P 500      | 7,718                 | 7,656           | -0.80%        |
|              | FTSE 100     | 10,831                | 10,650          | -1.59%        |
| Fixed Income | US 10-Year   | 4.78%                 | 4.97%           | +19bps        |
|              | UK 10-Year   | 5.08%                 | 5.19%           | +11bps        |
| Commodities  | Oil (\$/bbl) | 96                    | 104             | +8.33%        |
|              | Gold (\$/oz) | 4,476                 | 4,339           | -3.16%        |

## Key Developments

Middle East & Commodities

- **7 Sep – US-Iran escalation:** The US struck three Iranian oil tankers after American warships were reportedly targeted by missiles, further increasing the geopolitical risk premium across energy markets.
- **9 Sep – Oil breaks \$100:** Oil moved above \$100/bbl for the first time since July following renewed Middle East hostilities and further reported US strikes on Iranian tankers.
- **10 Sep – Bond market spillover:** Global sovereign yields moved higher again as rising oil prices increased inflation concerns and reduced expectations for easier monetary policy.
- **11 Sep – Red Sea tensions:** Houthi forces attacked Saudi-backed forces in an effort to strengthen control over strategically important Red Sea islands, adding further support to oil prices.

### UK Macro, Fiscal Policy & Rates

- **7 Sep – Budget positioning:** Chancellor John Healy committed to prioritising UK economic growth ahead of the October Budget while warning that Labour would need to remain disciplined on public spending. He reiterated the government's commitment not to raise taxes on working people but avoided ruling out other tax increases.
- **8 Sep – Long-term borrowing costs:** The UK sold £4bn of 30-year gilts at a 5.82% yield, the highest level for that maturity since 1998. Higher debt-servicing costs are expected to materially reduce the government's £24bn fiscal headroom ahead of the next OBR forecast.
- **8 Sep – Mortgage squeeze:** Most major UK mortgage lenders increased home-loan pricing, with further rises expected. A borrower refinancing a typical five-year mortgage could face more than £5,000 of additional annual payments at current replacement rates.
- **9 Sep – Bank taxation:** Jamie Dimon met with Chancellor John Healy to warn against increasing corporate taxation on banks ahead of the October Budget.
- **10 Sep – Growth surprise:** UK GDP reportedly expanded 0.4% in July, ahead of expectations, with growth across services, production and construction. Computer programming and AI-related activity were highlighted as meaningful contributors.

### UK Corporate Activity

- **7 Sep – Spire Healthcare:** Toscafund agreed a £1bn takeover of Spire Healthcare, the UK's largest private hospital operator, adding to continued deal activity involving UK assets.
- **7 Sep – Jaguar Land Rover:** JLR announced a £1.7bn cost-saving programme expected to remove 4,000 jobs over the next two years. The restructuring follows disruption from a cyberattack, weaker sales amid Chinese competition and pressure from US tariffs.
- **8 Sep – Channel 4:** Channel 4 announced plans to cut roughly a quarter of its workforce, representing the largest redundancy programme in its 43-year history.

### US Macro & Policy

- **9 Sep – Treasury market support disappoints:** US Treasury yields rose after a proposed \$6bn programme of government bond buybacks failed to reassure investors concerned about market stability.
- **10 Sep – Fiscal proposal:** Donald Trump proposed a one-off \$1.2tn payment programme, equivalent to roughly \$5,000 per person, as part of efforts to build political support.
- **11 Sep – Inflation:** US consumer prices were unchanged month-on-month in August. Gasoline prices increased 3.9% and accounted for more than a third of the overall inflation contribution, demonstrating the growing impact of higher energy prices on the consumer.

## Technology & AI

- **9 Sep – AI safety concerns:** An Anthropic researcher resigned while warning that advanced AI could pose a material existential risk within the next decade. Two colleagues publicly supported his concerns, with the probability of a catastrophic outcome estimated at above 10%.

The development adds to the wider debate around whether AI capabilities are advancing faster than governance and safety frameworks.

## Africa

- **7 Sep – US-Africa strategy:** Washington continued moving toward a more transactional investment strategy in Africa, linking trade and investment with access to critical minerals. Projects backed by the US include the railway corridor connecting Angola, the DRC and Zambia.
- **11 Sep – Dangote Refinery IPO:** Dangote Refinery prepared to launch its IPO on 14 September at an offer price of **₦525 per share**, with a minimum subscription of 10 shares. The transaction is being positioned as a “people’s IPO”, targeting broad domestic and diaspora participation.
- **11 Sep – Senegal hydrocarbons:** Senegal opened 109 of its 113 oil and gas blocks for licensing as the government seeks billions of dollars of investment and additional fiscal revenues amid recent public-finance pressure.

## European Sovereign Credit

- **11 Sep – France:** France’s finance minister warned that the country’s debt-interest bill is expected to rise by approximately 25% this year, while the government’s 2026 GDP growth forecast has also been downgraded.

The combination of weaker growth and rising financing costs adds to wider concerns around sovereign debt sustainability across highly indebted European economies.

## UK Energy Policy

- **11 Sep – Jackdaw:** Final approval of the Jackdaw gas field has reportedly been delayed until after the Holborn and St Pancras by-election. The contest has become

politically significant given the seat's previous association with Keir Starmer and the Green Party leader's candidacy, placing energy and environmental policy at the centre of the campaign.

- **11 Sep – Energy levies:** More than 120 organisations urged the Chancellor to shift levies funding renewables, nuclear power, the Warm Home Discount and legacy feed-in tariffs from consumer bills to government funding. Supporters estimate the change could reduce average household energy bills by up to £250 annually and business electricity prices by approximately 20%.

## Other Developments

- **11 Sep – Chelsea sale proceeds:** Proceeds from Roman Abramovich's £2.35bn sale of Chelsea remain frozen in a Barclays account and have reportedly generated at least £175m of interest since 2022.
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## Draft Notes

7<sup>th</sup> September 2026

SNP 500 7,718

FTSE 10,822

US 10y 4.78%

Oil 96

Gold 4476

UK 10y 5.08%

## Top Stories

- US struck three Iranian oil tankers after American warships were reportedly targeted by missiles
- John Healy has committed to boost UK economics growth ahead of his October budget. He warned that Labour must be honest about controlling public spending and refused to be drawn on specific tax rises, while reiterating manifesto pledges not to raise taxes on working people.
- US has shifted to a more transactional approach in Africa, courting leaders with trade and investment tied to access to critical minerals. Washington has backed projects and deals in Africa including investments in the railway project linking Angola, DRC and Zambia
- Spire Healthcare, the UK's largest private hospital, has agreed to be taken over by Toscafund for £1bn.
- Jaguar Land Rover is another UK company aiming to save billions via job cuts this week. They have announced £1.7bn saving programme that will require 4,000 jobs to be lost over the next two years, following a year-long production shutdown after a cyber-attack, falling sales amid Chinese competition and impact of US tariffs.

8<sup>th</sup> September 2026

SNP 7,673  
FTSE 10,811  
US 10y 4.81%  
Oil 99  
Gold 4,402  
UK 10y 5.07%

#### Top Stories

- UK sold a 30-year gilt at 5.82% on a 4bn auction, the highest yield on that maturity since 1998, which will show in the next OBRs forecast before the budget that the higher borrowing costs will wipe out at least half of the 24bn fiscal headroom
- Channel 4 to axe about a quarter of their workforce in the biggest layoffs in its 43 year history
- Nearly all major UK mortgage lenders have announced recent increases in the cost of home loans with analysts expecting further increases may follow. Someone coming off a typical five-year deal could face more than £5000 a year extra on the same loan under a typical replacement rate

9<sup>th</sup> September 2026

SNP 7636  
FTSE 10652  
US 10y 4.84%  
Oil 101  
Gold 4450  
UK 10y 5.11%

#### Top Stories:

- US Treasury yields rose after plans for \$6bn of buybacks aimed at steadying the government debt market disappointed investors.
- Oil rose above \$100 a barrel for the first time since July after renewed hostilities in the Middle East. The US Military said it had destroyed multiple Iranian tankers
- Jamie Dimon met with John Healy to warn him against rising corporate tax on banks ahead of the October budget.
- Anthropic researchers believe advanced AI could kill humanity within the next decade. One researcher resigned from Anthropic accusing them and OpenAI of mishandling the risk with two of his colleagues also publicly backing his concern. The risk is said to be above 10%.

10<sup>th</sup> September 2026

SNP 7591  
FTSE 10646  
US 10y 4.94%  
Oil 104

UK 10y 5.19%

#### Top Stories:

- Global bond yields rise again as oil prices rose to about \$109
- UK GDP reportedly grew 0.4% in July 2026, beating forecasts. Growth was across services, production, and construction, with computer programming and AI-related activity a major driver.
- Trump proposed a \$1.2tn one-off handout that would translate to roughly \$5,000 per person in order to rally up votes

11<sup>th</sup> September 2026

SNP 7656

FTSe 10650

US 10y 4.97%

Oil 104

UK 10y 5.19%

#### Top Stories:

- Houthi rebels attacked Saudi-backed forces to take control of the islands in the Red Sea, cementing their control over the Red Sea. This railed oil prices
- US August consumer prices were unchanged from July. Gasoline prices jumped 3.9% and accounted for more than a third of overall inflation
- Dangote refinery IPO set to launch on Monday 14<sup>th</sup> with the company approving the subscription channels. The offer price is set at 525 naira per share with a minimum purchase of 10 shares; that works out to around just under £3. This is a highly anticipated IPO for Nigeria and Africa as its being marketed as the “people’s IPO” potentially driving wide local and diaspora participation and supporting successful capital raising.
- France’s debt interest bill is set to rise by about 25% this year, as announced by the finance minister. The countries GDP growth has also been downgraded for 2026.
- The Jackdaw gasfield signing off has been delayed until the Holborn and St Pancras byelection as both the Labour and Green parties play politics. As the seat was held by former PM Keir Starmer, this seat has a lot of significance for Labour to show that they still have supporters; however, the Green Party leader is running for the seat. The elections will signal what direction the public is heading about the environment.
- Abramovich’s cash from the Chelsea sale has earned at least £175m in interest since 2022. He sold the west London club for £2.35bn in 2022 to which its being held in a frozen Barclays account
- Senegal has put 109 of their 113 oil and gas blocks up for licensing to attract billions in investments which aims to support their recent financial woes through government revenues
- More than 120 organisations sent a letter to the chancellor urging that levies currently added to consumer energy bills be paid from government funds instead. The groups want levies that fund renewables, nuclear, the warm homes discount and legacy feed-in tariffs removed from bills. They claim the removals would cut the

average household bill by up to £250 a year a lower electricity prices for businesses  
by about 20%